

IPO WATCH · MARKETS · JUNE 2026

SpaceX Is Going Public. It Is Fascinating. But Is \$135 the Right Price?

The largest IPO in history lands on 12 June. The business is genuinely extraordinary. But the valuation demands perfection — and the smartest analysts in the room are telling you to wait.

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5 June 2026 · 6 min read

Let me be honest with you from the start. When I first heard that SpaceX was going public at a \$1.77 trillion valuation — raising \$75 billion in a single day — my first instinct was excitement. My second instinct, the one that actually matters, was to slow down and ask a harder question: **what exactly am I paying for?**

That question does not have an easy answer. And anyone who tells you it does — whether they are screaming BUY or screaming SELL — is probably selling you something.

The Business Is Genuinely Extraordinary

Start with what SpaceX actually is. Not the hype — the business. In 2025, the company generated \$18.7 billion in revenue, up 43 per cent year on year. Its satellite internet service, Starlink, now serves 10.3 million subscribers across 164 countries. Starlink alone generated \$4.4 billion in operating profit last year. It is profitable, growing fast, and has no serious competitor at scale.

The rocket business is the one that changed history. SpaceX did not just build cheaper rockets — it built **reusable** ones. That single engineering achievement collapsed the cost of reaching orbit by roughly 90 per cent. Nasa now depends on SpaceX for most of its launches. The Pentagon does too. That is not a startup story anymore. That is infrastructure.

"Starlink is profitable. The rockets changed history. The AI unit lost \$6.4bn last year. You are buying all three — whether you want to or not."

Then there is the AI division — xAI, acquired by SpaceX in February 2026. This is where it gets complicated. The AI unit generated \$3.2 billion in revenue but lost \$6.4 billion from operations. In the first quarter of 2026 alone, capital expenditure hit \$10.1 billion — \$7.7 billion of it for AI infrastructure. SpaceX is burning money at a pace that would alarm most investors. The Starlink profits are essentially subsidising Elon Musk's AI ambitions.

What the Smartest Analysts Are Saying

Morningstar, one of the most respected independent research firms in the world, published a striking verdict this week. Their analyst Nicolas Owens valued SpaceX at **\$780 billion** — less than half of the \$1.77 trillion IPO price. His conclusion was direct: the company is "significantly overvalued in almost any scenario, at least in the near term." He added that smart investors may be better served waiting for the post-IPO lock-up expiry, when insiders can finally sell.

That is not a fringe view. The Motley Fool noted that at its target valuation, SpaceX would carry a price-to-sales ratio of roughly 100 — higher than any company in the S&P; 500. Revenue growth of 15 per cent in Q1 2026, while solid, does not obviously justify that premium.

Key Numbers at a Glance

- IPO Price: \$135 per share · Listing Date: 12 June 2026 · Ticker: SPCX (Nasdaq)
- Valuation: \$1.77 trillion · Fundraise: \$75 billion (largest IPO in history)
- Revenue FY2025: \$18.7bn (+43% YoY) · GAAP Net Loss: -\$4.9bn
- Starlink: \$11.4bn revenue, \$4.4bn operating profit, 10.3M subscribers
- AI / xAI: \$3.2bn revenue, -\$6.4bn operating loss · Debt: \$29.1bn (Q1 2026)
- Morningstar fair value: \$780bn — roughly half the IPO price
- Musk retains 82.4% voting power · Only 3% of shares offered to the public

The Case For Staying Neutral

Here is where I land, and I want to be clear this is my personal view, not a recommendation to buy or sell anything. I am **neutral on this IPO**, and I think that is the intellectually honest position right now.

On one side: the Starlink business is exceptional. If it reaches 50 million subscribers at \$80 per month average revenue, that is \$48 billion of annual recurring income. The rocket monopoly is real. The government contracts are locked in. The long-term vision — orbital data centres, Mars, point-to-point travel on Earth — is ambitious enough that some of it will probably happen.

On the other side: you have almost no shareholder rights. Musk retains 82.4 per cent of the voting power. His decisions about xAI, about X (formerly Twitter), about Tesla and his relationship with the US government — all of those affect SpaceX, and you have no say in any of them. You are buying a seat on a rocket that someone else is flying.

"The business deserves respect. The valuation demands scrutiny. Neutral is not the same as uninterested — it means the price is not yet right."

There is also the structural issue that most retail investors are not talking about. Because of Nasdaq-100 fast-entry rules, SpaceX could be eligible for index inclusion just 15 trading days after listing. That means every index fund — every pension pot, every passive ETF — could be forced to buy SpaceX shares automatically, regardless of what the valuation looks like. That creates artificial demand that has nothing to do with fundamentals. It will inflate the stock price. And it will eventually unwind.

What I Would Do

If I had to put a number on it: I think SpaceX is worth somewhere between Morningstar's \$780 billion and the IPO valuation of \$1.77 trillion. The truth is nobody knows. The xAI losses could shrink dramatically if the Anthropic contract — reportedly worth \$15 billion a year — holds. Or they could balloon further. That uncertainty alone is worth paying a discount for.

History has a relevant lesson here. Uber went public in 2019 at \$45 per share. It fell to \$13.72 within a year. Patient investors who waited bought a profitable, dominant business at a fraction of the IPO price. Nobody who bought on day one did better than the people who waited.

SpaceX may be different. It may surge on day one and never come back to earth. That is possible. But if you are a long-term investor rather than a day trader, there is no urgency. The lock-up expires in 180 days. Insiders will sell. The index-buying frenzy will settle. A better price will almost certainly emerge.

SpaceX is a once-in-a-generation business. \$135 is not a once-in-a-generation price. Watch it. Understand it. Wait for the right moment. That is not pessimism — that is how serious investors make money.

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